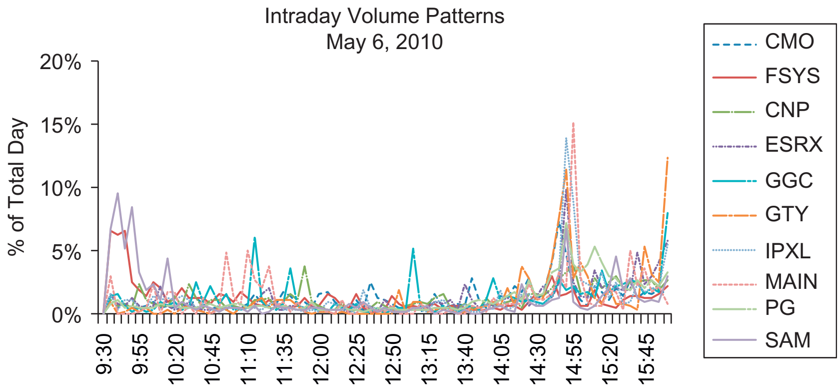

■ **Figure 2.10** Intraday Volume Patterns (Sample of Stock).

were slightly higher at the open for some stocks—these were the stocks that experienced the price declines early in the trading day. The stocks experienced some slight spikes in volumes during the day leading up to the flash crash but then all stocks experienced dramatic increases that far exceeded historical trading patterns. Furthermore, the reduction in trading volume tapered off slightly after the rebound but was still dramatically higher than normal days and there were further spikes at the close (Figure 2.10).

What Should Regulators do to SafeGuard Investors from Potential Future Flash Crashes?

In order to safeguard investors (both retail and professional) from potential future crashes and other types of avoidable market disruptions, there are several steps regulators could take to improve market quality. These steps are:

- Regulations are needed to safeguard investors from any type of market disruptions: price movement, volume spikes, volatility measures, and information content.
- Market-wide trading halts are needed in order to allow all market participants to catch their breath and process information and ensure a level playing field.
- Circuit breakers based on price movement. This is needed at the index and stock level.
- Circuit breakers based on volume deviation from the norm. This is needed at the stock level.
- Accommodations can be made to these triggers and circuit breakers based on special event days (as described above).